Practice Exam 2 of 7

Scheduled for: Friday, April 18, 2026

Focus: HMDA, FCRA, Fair Housing + ARM Loans & QM/ATR

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	**4 Hours**	**75% (90 correct)**	**April 24, 2026**

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. Under HMDA, a 'covered loan' includes which of the following?

A commercial mortgage on a warehouse
A home purchase loan on a 1-4 family dwelling
A business loan secured by commercial property
A personal loan not secured by real estate

2. Under FCRA, if a lender takes adverse action based on a credit report, what must the lender provide to the consumer?

A copy of the credit report and the right to dispute errors
A written explanation of why the lender doesn't use the credit score
The consumer's debt-to-income ratio
A list of other lenders who may approve the loan

3. Which organization enforces the Fair Housing Act in the United States?

CFPB only
HUD and the Department of Justice
Federal Trade Commission
OCC and FDIC

4. Under ECOA, which statement about income from part-time employment is correct?

Part-time income can never be used to qualify for a mortgage
Part-time income can be considered if it has a 2-year history and is likely to continue
Part-time income is always limited to 50% of the stated amount
Part-time income can only be considered for FHA loans

5. What is the 'three-day right of rescission' under TILA designed to protect?

Buyers from overpaying for a property
Homeowners from inadvertently using their home as collateral for non-purchase refinances
Lenders from borrowers who change their minds
Sellers from buyers backing out of contracts

6. Under RESPA, which practice is specifically prohibited as an 'unearned fee'?

Charging for an appraisal that was actually performed
A lender and title company splitting a settlement fee where one party performed no service
Charging origination points to the borrower
Requiring the borrower to pay for title insurance

7. TILA's 'rescission period' begins on which date?

The date the application is submitted
The date of consummation (closing)
The date the appraisal is ordered
The date the Loan Estimate is provided

8. Under ECOA's Regulation B, who is entitled to receive a copy of the appraisal?

Only the lender
The borrower, upon request or automatically
Only the seller
Only the real estate agent

9. The Community Reinvestment Act (CRA) requires:

Lenders to make loans to all applicants
Federally insured depository institutions to help meet the credit needs of their entire community
Lenders to charge the same rates to all borrowers
Annual reporting of all loan denials

10. Under TILA, the 'finance charge' includes all of the following EXCEPT:

Mortgage insurance premiums
Interest
Appraisal fee (charged by an independent appraiser)
Origination points paid to the lender

11. Which provision of RESPA requires disclosure of affiliated business arrangements?

Section 5
Section 8
Section 9
Section 10

12. 'Adverse action' under ECOA and FCRA includes all of the following EXCEPT:

Denial of credit
Termination of existing credit
Approval of credit with the exact terms requested
A counteroffer that the applicant does not accept

13. Under HMDA, what data must lenders report when an application is denied?

Nothing — denials are not reportable
The loan amount requested and the reason for denial
The application data and the action taken (denial), but not the reason
The applicant's complete credit history

14. The Gramm-Leach-Bliley Act (GLBA) requires financial institutions to:

Report all mortgage applications to the government
Provide privacy notices and protect non-public personal information
Offer the same interest rates to all borrowers
Maintain a 10% capital reserve

15. Under TILA, the APR on an adjustable-rate mortgage is calculated based on:

- The highest possible rate over the loan's life
- The initial rate of the loan (for ARM disclosures, using the initial rate and term)
- The average of the initial rate and the maximum rate
- The rate after the first adjustment

16. Which of the following is NOT subject to RESPA?

- A federally related first mortgage on a primary residence
- A home equity loan on a primary residence
- A commercial mortgage on an office building
- A federally related refinance of a primary residence

17. Under FCRA, a consumer has the right to dispute inaccurate information on their credit report. The credit bureau must investigate and resolve the dispute within:

- 15 days
- 30 days (with possible 15-day extension)
- 60 days
- 90 days

18. What is 'disparate treatment' in fair lending?

- A neutral policy that has an adverse effect on a protected class
- Treating a loan applicant differently based on their membership in a protected class
- Using credit scores that have an adverse impact on minorities
- Charging different interest rates based on loan amounts

19. The SAFE Act's background check process requires submission of fingerprints for what purpose?

- To verify identity for the NMLS photo ID
- To conduct an FBI background check for criminal history
- To track the MLO's location for licensing purposes
- To create a digital signature for electronic closings

20. Which of the following is a key provision of the Homeowners Protection Act (HPA)?

- Prohibiting mortgage insurance on all conventional loans
- Requiring automatic cancellation of PMI when LTV reaches 78% on the original amortization schedule
- Limiting the cost of PMI to 1% of the loan amount
- Requiring lenders to offer PMI cancellation at any LTV ratio

21. 'Blockbusting' is an illegal practice under the Fair Housing Act that involves:

- Refusing to make mortgage loans in minority neighborhoods
- Inducing panic selling in a neighborhood by suggesting minority families are moving in
- Requiring only minorities to make larger down payments
- Advertising mortgage products only in minority-language media

22. The purpose of RESPA's 'Section 5 Booklet' (now 'Your Home Loan Toolkit') is to:

Explain mortgage fraud to borrowers
Provide consumers with information about the settlement process and how to shop for mortgages
Disclose the lender's affiliated business relationships
Outline the borrower's right of rescission

23. Under the Dodd-Frank Act, which of the following loan features is PROHIBITED in Qualified Mortgages?

Fixed interest rates
30-year loan terms
Negative amortization
Escrow accounts for taxes and insurance

24. FACTA (Fair and Accurate Credit Transactions Act) amends FCRA to require:

Higher credit score thresholds for mortgage loans
Free annual credit reports for consumers and enhanced identity theft protections
Mandatory reporting of all mortgage applications to credit bureaus
Automatic approval for consumers with scores above 700

25. Under TILA, what is the 'finance charge' for a $200,000 loan with a 6% interest rate and $3,000 in points and fees over a 30-year term?

$6,000
$3,000
$231,676 (total interest over 30 years) + $3,000 in fees = $234,676
$12,000 annually

26. What must a lender do before a borrower can waive the 3-business-day right of rescission?

Nothing — waiver is never permitted
The borrower must prove their need in writing, and the lender must submit to HUD for approval
The borrower must provide a written waiver to meet a bona fide personal financial emergency
The borrower must pay a waiver fee

27. A lender requires all applicants in a specific zip code to make a 20% down payment, but applicants in other zip codes only need 5% down. This policy may constitute:

Sound risk management
Redlining if the affected zip code is predominantly minority
A legal fair lending practice based on property values
Required underwriting standards

28. Which regulation implements the Home Mortgage Disclosure Act?

- Regulation B
- Regulation C
- Regulation X
- Regulation Z

Section 2: General Mortgage Knowledge

29. What is a 'non-conforming loan'?

- Any loan with a fixed interest rate
- A loan that does not meet Fannie Mae/Freddie Mac guidelines, often due to exceeding loan limits
- A loan that does not conform to local building codes
- A loan without mortgage insurance

30. For a VA loan, what does 'entitlement' refer to?

- The veteran's right to a free appraisal
- The amount the VA will guarantee on a loan, which determines the loan amount available with no down payment
- The veteran's eligibility for VA health benefits
- The property's qualification for VA financing

31. What is the debt-to-income ratio limit for most Qualified Mortgages under the General QM rule?

- 36% back-end DTI
- 43% back-end DTI
- 45% back-end DTI
- 50% back-end DTI

32. A borrower wants to purchase a $350,000 home with a conventional loan. They have 5% to put down. What is the loan amount and will PMI be required?

- $332,500 loan; PMI required
- $350,000 loan; no PMI
- $332,500 loan; no PMI
- $280,000 loan; PMI required

33. For FHA loans, borrowers with credit scores between 500-579 must make a minimum down payment of:

- 3.5%
- 5%
- 10%
- 20%

34. What is 'private mortgage insurance' (PMI) designed to protect?

The borrower if they lose their job

The lender against borrower default when LTV exceeds 80%

The property against natural disaster damage

The title company against title defects

35. What is a 'buy-down' mortgage?

A loan where the balance decreases faster than normal amortization

A loan where points are paid upfront (by borrower, seller, or builder) to temporarily or permanently lower the interest rate

A loan that allows the borrower to skip monthly payments

A loan where the down payment is provided by the seller

36. What is the 'secondary market' role of Fannie Mae and Freddie Mac?

They originate mortgage loans directly to consumers

They purchase mortgage loans from lenders, providing liquidity to the mortgage market

They insure mortgages against borrower default

They regulate mortgage lending practices

37. Which entity guarantees FHA loans?

Fannie Mae

The Federal Housing Administration (FHA)

The Department of Veterans Affairs

Private mortgage insurance companies

38. What is a 'two-step mortgage'?

A mortgage requiring two co-borrowers

A mortgage with a fixed rate for an initial period (e.g., 5-7 years), then one rate adjustment for the remaining term

A mortgage that requires two separate closings

A loan with bi-weekly instead of monthly payments

39. What does 'seasoning' mean in the context of a cash-out refinance?

The interest rate has been in place for a full year

The borrower has owned the property for a minimum time period before taking cash out

The loan was originated in a certain month

Waiting for property taxes to be assessed

40. In mortgage lending, what is 'subordinate financing'?

A first mortgage with below-market rates

A second or junior lien on a property that is paid after the first mortgage in case of default

A loan serviced by a non-primary lender

Seller carryback financing

41. What is a 'hybrid ARM'?

A mortgage that combines fixed payments with adjustable equity requirements

An ARM with a fixed-rate period followed by annual rate adjustments (e.g., 5/1, 7/1, 10/1)

A loan that combines conventional and FHA insurance

A mortgage with both adjustable rates and balloon features

42. A 'purchase money second mortgage' is:

A second mortgage taken to pay off the first mortgage

A second mortgage used at the time of purchase to help fund the down payment (often called an '80/10/10' structure)

A government loan for second homes only

A loan from the seller to the buyer to fund the purchase

43. What is 'loan flipping'?

Selling mortgage-backed securities on the secondary market

Repeatedly refinancing a borrower into new loans to generate fees, without meaningful benefit to the borrower

Converting an ARM to a fixed-rate loan

Purchasing a distressed loan at a discount

44. When does a borrower typically NOT need to pay PMI?

When the loan is insured by FHA

When the LTV is 80% or less at origination (or when equity exceeds 20%)

When the property is a single-family home

When the borrower has a credit score above 700

45. A borrower asks for a loan at a below-market interest rate. What term is used for an interest rate that is set artificially below the market rate?

Subprime rate

Teaser rate (also called an introductory or initial rate)

Prime rate

Discount rate

46. What is the purpose of a 'pre-approval letter' from a lender?

A guarantee that the lender will fund the loan

A conditional commitment from the lender indicating the borrower qualifies for a specified loan amount, subject to property approval

A document required by all sellers before showing a home

The final approval given after underwriting

47. Which type of second mortgage has a fixed amount borrowed at once with regular fixed payments?

HELOC
Home equity loan (closed-end second mortgage)
Bridge loan
Reverse mortgage

48. For conventional loans, the standard maximum back-end DTI ratio without significant compensating factors is approximately:

28%
36%
45%
50%

49. What does 'cross-collateralization' mean in lending?

Using the same collateral for two different types of loans
Using one property as collateral for multiple loans, or using multiple properties to secure one loan
Sharing collateral with another borrower
Replacing old collateral with new collateral

50. What is the 'note rate' on a mortgage?

The APR of the loan
The interest rate stated in the promissory note, which determines the monthly interest payment
The rate charged by the Fed to banks
The rate set by Fannie Mae for conforming loans

51. A 'recourse loan' means:

The borrower has the right to refinance without penalty
If the borrower defaults and the sale proceeds are insufficient, the lender can pursue the borrower for the deficiency
The lender cannot pursue the borrower beyond the collateral
The borrower can return the property to the lender at any time

52. What is a 'desk review' appraisal?

An appraisal conducted at the borrower's kitchen table
An appraisal review performed at a desk using existing data without visiting the property, used to check the original appraisal
A simplified appraisal for properties under $100,000
An appraisal report format used for vacant land

53. Which Automated Underwriting System (AUS) is used by Fannie Mae?

Loan Product Advisor (LPA)
Desktop Underwriter (DU)
TOTAL Mortgage Scorecard
Credit Risk Manager

54. What does an AUS 'Approve/Eligible' finding mean?

The loan is denied and the borrower should apply elsewhere
The loan meets the GSE's guidelines and the lender may use streamlined documentation
The loan requires a full manual underwriting review
The loan needs additional collateral

55. What is the purpose of Form 4506-C in mortgage processing?

To request a borrower's Social Security earnings record
To authorize the lender to obtain IRS tax transcripts to verify income
To report fraud to the IRS
To change a borrower's tax filing status

56. What is a 'good faith estimate' (GFE) in modern mortgage practice?

The current required disclosure under TRID
An informal estimate of costs provided before the official Loan Estimate
A binding commitment from the lender
The HUD-1 settlement statement

Section 3: Loan Origination Activities

57. What is 'underwriting' in the mortgage process?

The marketing of mortgage products to consumers
The analysis of a loan application to assess risk and determine whether to approve it based on lender and investor guidelines
The process of collecting documents from borrowers
Setting the interest rate for the loan

58. What is the standard for verifying self-employed borrower income?

One year of bank statements only
Two years of personal and business tax returns with all schedules, plus a year-to-date P&L;
A letter from the borrower's accountant
One year of personal tax returns only

59. Under TRID, which three events trigger a mandatory new 3-business-day waiting period after issuing a revised Closing Disclosure?

Any change at all to the CD

APR increase >0.125%, loan product change, or addition of a prepayment penalty

Change in closing date, change in property address, change in loan amount

Any change to the fee amounts on the CD

60. What is a 'wet settlement' vs. a 'dry settlement'?

A closing with and without an attorney present

A wet settlement disburses funds at closing; a dry settlement withholds disbursement for a period (usually 1-3 business days)

A closing in person vs. remote closing

A closing before and after the rescission period

61. A 'simultaneous second mortgage' originated at the same time as a first mortgage for a purchase transaction is typically called:

A bridge loan

A piggyback or 80/10/10 loan

A construction loan

A portfolio loan

62. What is an 'interest rate cap' on an ARM loan?

The maximum profit the lender can make

A limit on how much the interest rate can adjust at any one time or over the life of the loan

A fee charged by the lender for locking the rate

A limit on how low the rate can go

63. 'Non-QM' loans are best described as:

Loans that violate federal regulations

Loans that do not meet QM criteria but are still legal and available to borrowers who can demonstrate ability to repay

Any loan over the conforming limit

FHA and VA loans only

64. What is a 'fully indexed rate' on an ARM?

The initial rate offered at the start of the loan

The current index value plus the margin, representing the rate without caps

The maximum rate the ARM can ever reach

The average rate over the life of the loan

65. When a borrower's DTI exceeds standard guidelines, which of the following is a common 'compensating factor' that may allow approval?

Low credit score
Significant cash reserves (12+ months of PITI)
History of late payments
Short employment history

66. A 'letter of explanation' (LOX or LOE) is requested by underwriters for:

Routine income verification
Unusual items in the file such as gaps in employment, large deposits, or derogatory credit
All first-time homebuyer applications
VA loan applications only

67. What is a 'VA appraisal' also known as?

A standard Fannie Mae appraisal
A Notice of Value (NOV) issued by a VA-certified appraiser
An FHA case number assignment
A USDA feasibility study

68. What is 'overlaying guidelines' in mortgage lending?

Adding additional paperwork to the loan file
Lenders imposing stricter requirements on top of minimum investor/agency guidelines
Multiple appraisals being ordered for the same property
Using two AUS systems to check the same application

69. What document must a VA borrower receive before applying for a VA loan?

A Certificate of Eligibility (COE)
A pre-approval letter from a VA-approved lender
A Notice of Value from a VA appraiser
A Statement of Service from their commanding officer

70. What are 'seller concessions' in a real estate purchase?

The seller's discount from the listing price
Contributions from the seller toward the buyer's closing costs, allowed up to a maximum percentage of the sales price
Upgrades included in the sale by the seller
The seller financing part of the purchase price

71. What is 'income fraud' in the mortgage context?

Reporting rental income that exceeds actual rents received by 10%
Material misrepresentation of income on a loan application, including falsified documents
Failing to disclose a part-time job
Not reporting a bonus received 3 years ago

72. What is the MLO's obligation when they discover a potential property value issue?

Proceed with the loan and hope the appraisal supports the value
Disclose the concern to the borrower and lender and potentially withdraw from the transaction
Order a second appraisal without telling the lender
Lower the loan amount without notifying the borrower

73. What is 'flopping' in the context of mortgage fraud?

Repeatedly submitting an application that has been denied
Intentionally undervaluing a property in a short sale and then reselling it immediately at a profit
Convincing a borrower to change their loan type frequently
Closing a loan and then refinancing it the same day

74. Which of the following is an ethical way for an MLO to market their services?

Sending mailers to borrowers who have recently been denied by other lenders with misleading approval guarantees
Accurately representing their rates and products in advertising, with all required disclosures
Promising rates before locking them in
Guaranteeing a closing date before ordering the appraisal

75. What does 'fair lending' require of mortgage lenders?

Offering the lowest possible rates to all borrowers
Treating all similarly situated applicants consistently, without regard to protected class membership
Approving all applications from protected classes
Making loans only in diverse neighborhoods

76. An MLO inflates a borrower's income on the application to help them qualify. The borrower does not know this. The MLO has committed:

No crime — the MLO was trying to help the borrower
Mortgage fraud, both for housing (on behalf of the borrower) and for profit (benefiting the MLO through commission)
A minor ethical violation subject only to a warning
A violation only if the loan goes into default

77. An MLO receives payment from a builder for every loan they originate on the builder's new development. This arrangement:

Is a legitimate marketing agreement
Violates RESPA Section 8 unless the payment is for legitimate marketing services actually performed
Is only legal if the MLO discloses it on the loan application
Is legal as long as the interest rate to the buyer is competitive

78. What ethical responsibility does an MLO have to a borrower with limited English proficiency?

No special obligation — the borrower should bring their own interpreter

To ensure the borrower receives information in a way they can understand, which may include arranging for translation

To decline the application to avoid liability

Only to provide English documents as required by law

79. Charging a borrower an undisclosed fee after they've signed the Loan Estimate is:

Acceptable if the fee is under $50

An ethical violation and potentially a TRID violation

Standard practice for small administrative fees

Required for lender-controlled services

80. What is the MLO's duty when a borrower appears to be under duress or not acting voluntarily?

Process the loan as quickly as possible to avoid delay

Pause the transaction, address the concern, and potentially decline to proceed if the borrower's free will is in question

Have the borrower sign a waiver of concern

Contact only the real estate agent for guidance

81. What is 'elder financial abuse' in the context of mortgage lending?

Elderly borrowers choosing not to qualify for senior discounts

Exploiting elderly individuals' home equity through deceptive or coercive mortgage transactions

Offering reverse mortgages to seniors

Charging seniors higher insurance premiums

82. Which of the following behaviors constitutes 'unfair' practice under UDAAP?

Requiring documentation of income for underwriting

Causing substantial injury to consumers that they cannot reasonably avoid and that is not outweighed by benefits

Offering competitive market-rate products

Providing required disclosures on time

83. What is the role of the CFPB's Consumer Complaint Database in mortgage lending?

It sets interest rates for all mortgage lenders

It provides a public record of consumer complaints about financial products, which regulators and consumers can use

It approves or denies individual mortgage applications

It manages the NMLS licensing system

84. An MLO who falsely tells a borrower 'the rate I quoted is still valid' when it is not, in order to prevent them from shopping with another lender, is engaging in:

Standard sales practice
Deceptive practice violating UDAAP and ethical standards
An acceptable competitive strategy
A minor misstatement with no regulatory implications

85. What does it mean for an MLO to act in a 'fiduciary capacity'?

Acting to maximize the lender's profits
Acting in the best interest of the client, placing the client's interests above their own
Ensuring all documents are filed on time
Disclosing only legally required information

86. A borrower is elderly and is being pressured by a family member to take out a reverse mortgage. The MLO suspects elder abuse. What should the MLO do?

Process the loan since the borrower signed the application
Pause the transaction and contact Adult Protective Services or advise the borrower of their rights and resources
Exclude the family member from future conversations only
Ask only the family member for clarification

Section 4: Ethics

87. Under what circumstances can a state deny an MLO license application?

If the applicant has any prior mortgage experience
If the applicant has felony convictions involving fraud, dishonesty, or breach of trust within 7 years
If the applicant graduated from an out-of-state school
If the applicant has worked in more than 3 states

88. The NMLS Consumer Access website allows consumers to:

Apply for mortgage loans online
Look up MLO license status, history, and any regulatory actions
Compare interest rates from different lenders
File complaints directly with lenders

89. When an MLO's license is 'inactive,' what does this mean?

The MLO has failed the renewal exam
The MLO is not currently sponsored by an employer, so they cannot originate loans
The MLO has been banned from the industry
The MLO is in CE classes and temporarily unable to originate

90. Under the SAFE Act, how long must an MLO who has let their license lapse wait before being required to retake pre-licensing education?

They never have to retake it
5 years from the date of the original license
The SAFE Act does not specify — state law governs this
Only if they failed the licensing exam originally

91. What is the 'sponsorship' requirement in NMLS licensing?

An MLO must be sponsored by the National Mortgage Association
A licensed mortgage company must formally take responsibility for the MLO's activities and vouch for them in NMLS
MLOs must be sponsored by a state legislator
New MLOs must work under a senior MLO's supervision for 2 years

92. Which of the following is NOT typically included in an MLO's annual CE requirements?

Ethics training
Federal law update
Property appraisal techniques
Non-traditional mortgage products

93. If an MLO wants to originate loans in multiple states, they must:

Apply for federal authorization from the CFPB
Obtain a separate license in each state they wish to operate in, through NMLS
Apply for a multi-state license that covers all states
Only notify the states by mail of their intent

94. What is the purpose of the SAFE Act's requirement for credit report review in the licensing process?

To determine the MLO's ability to get a mortgage themselves
To assess financial responsibility and identify patterns of fraud or financial misconduct
To set the MLO's salary
To determine the MLO's net worth for bond purposes

95. When is an MLO NOT required to have a state license under the SAFE Act?

When they originate less than 5 loans per year
When they work for a federally chartered bank or thrift and register as an MLO through NMLS
When they only work with refinance loans
When they work part-time only

96. What type of license does a mortgage company need to employ licensed MLOs?

An MLO license for each principal
A company/entity mortgage license in each state where they do business
A CFPB certification
A Fannie Mae approved seller/servicer designation

97. A consumer files a complaint against an MLO with the state licensing authority. What is the potential consequence for the MLO?

No consequences unless convicted criminally
Investigation, and potential license suspension, revocation, fine, or required remedial education
Automatic license revocation
Only a letter of reprimand

98. Under the SAFE Act, what does the fingerprint-based background check include?

Only state criminal records
Both state and federal criminal history records through the FBI's national criminal database
Only records from the past 5 years
Only records related to financial crimes

99. How often must most state MLO licenses be renewed?

Every 2 years
Every year, by December 31
Every 3 years
Only when changing employers

100. The SAFE Act requires that an MLO's license application include all of the following EXCEPT:

Criminal background check consent
Fingerprint submission
Minimum 2-year work history in mortgage industry
20 hours of pre-licensing education completion

101. What is the MLO's obligation to disclose their NMLS ID?

Only on the loan application
On the loan application, in solicitations, and in advertisements
Only verbally upon request
Only when asked by the borrower

102. Under the Fair Credit Reporting Act, a consumer who is denied credit based on information in their credit report must receive:

A. A free credit monitoring subscription
B. An adverse action notice identifying the credit bureau and the right to a free report
C. Notification only if requested
D. A copy of the full credit report automatically

103. HMDA data is collected by lenders to report on mortgage applications for properties in:

A. Only urban areas
B. The lender's assessment area only
C. Metropolitan statistical areas (MSAs) and other areas as defined by regulation
D. All 50 states equally

104. Under ECOA, which of the following income types may NOT be excluded from consideration for qualifying?

A. Income from part-time employment
B. Income because the borrower is under 40 years old
C. Income that is irregular or unlikely to continue
D. Rental income not verified through tax returns

105. Which of the following is an example of 'disparate impact' in fair lending?

A. A lender who explicitly states they won't lend in minority neighborhoods
B. A neutral policy that, when applied, results in a statistically significant negative effect on a protected class
C. An MLO who charges higher fees to minority applicants
D. A lender who approves only white applicants

Section 5: Uniform State Content (SAFE Act & Licensing)

106. Under the Fair Housing Act, a lender who refuses to advertise in publications targeted to minority communities may be engaging in:

A. Acceptable business targeting
B. Discriminatory advertising practices
C. Permitted geographic marketing
D. Legal competitive strategy

107. The 'rate spread' required to be reported under HMDA (post-2018 rule) is the difference between:

A. The note rate and the prime rate
B. The loan's APR and the average prime offer rate (APOR)
C. The note rate and the 10-year Treasury rate
D. The APR and the federal funds rate

108. A borrower's credit score of 580 generally qualifies them for which FHA down payment?

A. 3% minimum down payment
B. 3.5% minimum down payment
C. 10% minimum down payment
D. 20% minimum down payment

109. Under the ATR (Ability-to-Repay) rule, a lender must document the consumer's ability to repay using information known or reasonably available at the time of consummation. 'Consummation' means:

A. The date of loan application
B. The date the borrower becomes legally obligated on the loan (closing/signing)
C. The date of rate lock
D. The date underwriting approval is issued

110. For Qualified Mortgage purposes, which of the following is TRUE about points and fees?

A. Points and fees must not exceed 5% of the total loan amount for QMs over $60,000
B. All loans regardless of size have a 5% cap on points and fees
C. Points and fees are unlimited on government loans
D. There is no cap on lender credits

111. A 5/1 ARM with initial caps of 2/2/5 means the rate can change at the first adjustment by a maximum of:

A. 2%
B. 5%
C. 1%
D. 7%

112. The FHA Upfront Mortgage Insurance Premium (UFMIP) for most purchase loans is:

A. 0.5% of the loan amount
B. 1.0% of the loan amount
C. 1.75% of the loan amount
D. 2.25% of the loan amount

113. Under Regulation Z, the 'finance charge' is the cost of consumer credit expressed as a:

A. Monthly fee
B. Dollar amount and as an annual percentage rate (APR)
C. Percentage of the purchase price
D. Points-only calculation

114. Which of the following describes the VA loan's 'Certificate of Eligibility' (COE)?

A. A property appraisal specific to VA loans
B. Documentation confirming a veteran's eligibility for VA home loan benefits based on military service
C. The VA's approval of the specific property
D. A certificate required for all government loan programs

115. Under HMDA, which of the following properties would NOT be covered?

A. A single-family home
B. A 4-unit multifamily property
C. A 30-unit apartment building
D. A commercial building with no residential units

116. Under RESPA, the HUD-1 Settlement Statement was replaced by the Closing Disclosure for most transactions beginning:

A. January 1, 2010
B. October 3, 2015
C. January 1, 2018
D. August 1, 2015

117. For VA loans, the 'VA appraisal' is performed to determine the 'Notice of Value' (NOV). The NOV:

A. Is the same as the purchase price in all cases
B. Sets the maximum value the VA will guarantee for the property, which caps the loan amount for VA purposes
C. Determines if the veteran qualifies financially
D. Provides a market value estimate only for the seller's use

118. An MLO must provide the Loan Estimate to the applicant within 3 business days of receiving an application. For purposes of the LE timing rule, 'business day' means:

A. Monday through Friday only
B. All calendar days except Sundays and federal public holidays
C. All calendar days
D. Weekdays as defined by state law

119. RESPA prohibits 'required use' arrangements where a lender requires a borrower to use a specific settlement service provider EXCEPT:

A. When the lender has a financial interest in the provider
B. When it is the lender's own attorney for legal services in the transaction
C. When the provider offers better pricing
D. There are no exceptions — required use is always prohibited

120. Which of the following is a key difference between the NMLS and state regulatory agencies?

A. NMLS is a federal agency that issues licenses directly
B. NMLS is a technology platform for state regulators; it does not issue licenses but states use it to process applications
C. State agencies are subordinate to NMLS in all licensing decisions
D. NMLS sets the final licensing standards for all states

ANSWER KEY & EXPLANATIONS — Practice Exam 2

Section 1: Federal Mortgage-Related Laws

Q1: Under HMDA, a 'covered loan' includes which of the following?

A. A commercial mortgage on a warehouse

✓ B. A home purchase loan on a 1-4 family dwelling

C. A business loan secured by commercial property

D. A personal loan not secured by real estate

Explanation: HMDA requires reporting of covered loans, which include home purchase loans, home improvement loans, and refinances secured by 1-4 family residential dwellings. Commercial mortgages and unsecured personal loans are NOT covered under HMDA.

Q2: Under FCRA, if a lender takes adverse action based on a credit report, what must the lender provide to the consumer?

✓ A. A copy of the credit report and the right to dispute errors

B. A written explanation of why the lender doesn't use the credit score

C. The consumer's debt-to-income ratio

D. A list of other lenders who may approve the loan

Explanation: Under FCRA, when adverse action is taken based on a credit report, the lender must provide an adverse action notice including the credit reporting agency's contact information, a statement that the CRA didn't make the decision, and the consumer's right to obtain a free credit report and dispute inaccuracies.

Q3: Which organization enforces the Fair Housing Act in the United States?

A. CFPB only

✓ B. HUD and the Department of Justice

C. Federal Trade Commission

D. OCC and FDIC

Explanation: The Fair Housing Act is enforced primarily by the Department of Housing and Urban Development (HUD) and the Department of Justice (DOJ). Private individuals can also file lawsuits under the Fair Housing Act.

Q4: Under ECOA, which statement about income from part-time employment is correct?

A. Part-time income can never be used to qualify for a mortgage

✓ B. Part-time income can be considered if it has a 2-year history and is likely to continue

C. Part-time income is always limited to 50% of the stated amount

D. Part-time income can only be considered for FHA loans

Explanation: ECOA prohibits discrimination based on the source of income. Part-time income with a demonstrated 2-year history that is likely to continue must be considered. A lender cannot categorically exclude part-time income — they must evaluate its stability and continuity.

Q5: What is the 'three-day right of rescission' under TILA designed to protect?

A. Buyers from overpaying for a property

✓ **B. Homeowners from inadvertently using their home as collateral for non-purchase refinances**

C. Lenders from borrowers who change their minds

D. Sellers from buyers backing out of contracts

Explanation: The 3-day right of rescission under TILA gives borrowers time to reconsider non-purchase loans (refinances) secured by their principal dwelling. It protects homeowners from hasty decisions to pledge their home as collateral, giving them time to cancel without penalty.

Q6: Under RESPA, which practice is specifically prohibited as an 'unearned fee'?

A. Charging for an appraisal that was actually performed

✓ **B. A lender and title company splitting a settlement fee where one party performed no service**

C. Charging origination points to the borrower

D. Requiring the borrower to pay for title insurance

Explanation: RESPA Section 8(b) prohibits splitting fees where one party performs no services. For example, if a lender and title company split the title fee but the lender performed no title-related services, the lender's portion is an unearned fee prohibited by RESPA.

Q7: TILA's 'rescission period' begins on which date?

A. The date the application is submitted

✓ **B. The date of consummation (closing)**

C. The date the appraisal is ordered

D. The date the Loan Estimate is provided

Explanation: The 3-business-day right of rescission under TILA begins on the LATER of: (1) the date of consummation (closing), (2) the delivery of the Regulation Z disclosures, or (3) delivery of the Notice of Right to Cancel. In practice, it typically starts on the closing date.

Q8: Under ECOA's Regulation B, who is entitled to receive a copy of the appraisal?

A. Only the lender

✓ **B. The borrower, upon request or automatically**

C. Only the seller

D. Only the real estate agent

Explanation: Under ECOA (Regulation B), lenders must provide applicants with a copy of any appraisal or written valuation used in connection with the application. The lender must notify applicants of this right and provide the copy promptly upon completion (or within 3 business days of a request).

Q9: The Community Reinvestment Act (CRA) requires:

A. Lenders to make loans to all applicants

✓ **B. Federally insured depository institutions to help meet the credit needs of their entire community**

C. Lenders to charge the same rates to all borrowers

D. Annual reporting of all loan denials

Explanation: The CRA requires federally insured banks and savings institutions to help meet the credit needs of the communities they serve, including low- and moderate-income (LMI) neighborhoods, consistent with safe and sound lending practices.

Q10: Under TILA, the 'finance charge' includes all of the following EXCEPT:

A. Mortgage insurance premiums

B. Interest

✓ **C. Appraisal fee (charged by an independent appraiser)**

D. Origination points paid to the lender

Explanation: Under TILA, finance charges include interest, loan origination fees, points, and mortgage insurance premiums. Third-party fees charged by independent parties (like appraisal fees paid directly to appraisers) are generally excluded from the finance charge calculation.

Q11: Which provision of RESPA requires disclosure of affiliated business arrangements?

A. Section 5

✓ **B. Section 8**

C. Section 9

D. Section 10

Explanation: RESPA Section 8 addresses kickbacks and referral fees. Affiliated business arrangements (AfBAs) are permissible under a Section 8 exception IF proper disclosure is provided, no mandatory use is required, and fees represent a return on ownership interest only.

Q12: 'Adverse action' under ECOA and FCRA includes all of the following EXCEPT:

A. Denial of credit

B. Termination of existing credit

✓ **C. Approval of credit with the exact terms requested**

D. A counteroffer that the applicant does not accept

Explanation: Adverse action includes denial, revocation, unfavorable change in terms, or failure to act favorably on an application. An approval with the EXACT terms requested is NOT adverse action. A counteroffer the applicant doesn't accept IS considered adverse action under ECOA.

Q13: Under HMDA, what data must lenders report when an application is denied?

A. Nothing — denials are not reportable

B. The loan amount requested and the reason for denial

✓ **C. The application data and the action taken (denial), but not the reason**

D. The applicant's complete credit history

Explanation: HMDA requires lenders to report application data (loan type, amount, property location, applicant demographics) and the action taken (approved, denied, withdrawn, incomplete). Specific reasons for denial are NOT reported under HMDA (those are required by ECOA).

Q14: The Gramm-Leach-Bliley Act (GLBA) requires financial institutions to:

A. Report all mortgage applications to the government

✓ **B. Provide privacy notices and protect non-public personal information**

C. Offer the same interest rates to all borrowers

D. Maintain a 10% capital reserve

Explanation: The Gramm-Leach-Bliley Act (Financial Modernization Act) requires financial institutions to provide privacy notices to consumers explaining their information-sharing practices and to protect non-public personal information (NPI). The 'safeguards rule' requires security programs for customer data.

Q15: Under TILA, the APR on an adjustable-rate mortgage is calculated based on:

A. The highest possible rate over the loan's life

✓ **B. The initial rate of the loan (for ARM disclosures, using the initial rate and term)**

C. The average of the initial rate and the maximum rate

D. The rate after the first adjustment

Explanation: For ARM disclosures under Regulation Z, the APR is calculated using the initial interest rate for the initial period, then the fully-indexed rate (index + margin) for the remaining term. This gives consumers a reasonable basis for comparison even though rates will change.

Q16: Which of the following is NOT subject to RESPA?

A. A federally related first mortgage on a primary residence

B. A home equity loan on a primary residence

✓ **C. A commercial mortgage on an office building**

D. A federally related refinance of a primary residence

Explanation: RESPA applies to 'federally related mortgage loans' which includes most first mortgages and refinances on 1-4 family residential properties. Commercial mortgages are NOT covered by RESPA, as RESPA focuses on residential real estate settlements.

Q17: Under FCRA, a consumer has the right to dispute inaccurate information on their credit report. The credit bureau must investigate and resolve the dispute within:

A. 15 days

✓ **B. 30 days (with possible 15-day extension)**

C. 60 days

D. 90 days

Explanation: Under FCRA, credit reporting agencies must investigate disputes and resolve them within 30 days (or 45 days if the consumer provides additional information). If the investigation cannot be completed within 30 days, it can be extended by up to 15 days for a maximum of 45 days.

Q18: What is 'disparate treatment' in fair lending?

A. A neutral policy that has an adverse effect on a protected class

✓ **B. Treating a loan applicant differently based on their membership in a protected class**

C. Using credit scores that have an adverse impact on minorities

D. Charging different interest rates based on loan amounts

Explanation: Disparate treatment occurs when a lender treats applicants differently based on membership in a protected class. This can be explicit (stated policy) or evidenced by patterns of treatment. Disparate treatment is intent-based discrimination, as opposed to disparate impact.

Q19: The SAFE Act's background check process requires submission of fingerprints for what purpose?

A. To verify identity for the NMLS photo ID

✓ **B. To conduct an FBI background check for criminal history**

C. To track the MLO's location for licensing purposes

D. To create a digital signature for electronic closings

Explanation: SAFE Act applicants must submit fingerprints to NMLS for processing through the FBI's Criminal Justice Information Services Division (CJIS). This allows regulators to review the applicant's criminal history and determine if any disqualifying convictions exist.

Q20: Which of the following is a key provision of the Homeowners Protection Act (HPA)?

A. Prohibiting mortgage insurance on all conventional loans

✓ B. Requiring automatic cancellation of PMI when LTV reaches 78% on the original amortization schedule

C. Limiting the cost of PMI to 1% of the loan amount

D. Requiring lenders to offer PMI cancellation at any LTV ratio

Explanation: The HPA requires: (1) automatic PMI termination when LTV reaches 78% based on the original amortization schedule (if the borrower is current), (2) PMI cancellation upon borrower's written request when LTV reaches 80%, and (3) disclosure of PMI cancellation rights.

Q21: 'Blockbusting' is an illegal practice under the Fair Housing Act that involves:

A. Refusing to make mortgage loans in minority neighborhoods

✓ B. Inducing panic selling in a neighborhood by suggesting minority families are moving in

C. Requiring only minorities to make larger down payments

D. Advertising mortgage products only in minority-language media

Explanation: Blockbusting involves inducing residents to sell their properties by making representations about the entry or prospective entry of members of a protected class into the neighborhood. It is designed to profit from racial panic selling and is prohibited by the Fair Housing Act.

Q22: The purpose of RESPA's 'Section 5 Booklet' (now 'Your Home Loan Toolkit') is to:

A. Explain mortgage fraud to borrowers

✓ B. Provide consumers with information about the settlement process and how to shop for mortgages

C. Disclose the lender's affiliated business relationships

D. Outline the borrower's right of rescission

Explanation: RESPA Section 5 requires lenders to provide applicants with a copy of the CFPB's 'Your Home Loan Toolkit' (which replaced the old HUD booklet) within 3 business days of application. It helps consumers understand the home purchase process and their mortgage options.

Q23: Under the Dodd-Frank Act, which of the following loan features is PROHIBITED in Qualified Mortgages?

A. Fixed interest rates

B. 30-year loan terms

✓ C. Negative amortization

D. Escrow accounts for taxes and insurance

Explanation: Qualified Mortgages (QMs) under Dodd-Frank cannot have: negative amortization, interest-only payments, balloon payments (except for certain small creditor QMs), terms exceeding 30 years, or points and fees exceeding 3% of the loan amount. Negative amortization is prohibited.

Q24: FACTA (Fair and Accurate Credit Transactions Act) amends FCRA to require:

A. Higher credit score thresholds for mortgage loans

✓ B. Free annual credit reports for consumers and enhanced identity theft protections

C. Mandatory reporting of all mortgage applications to credit bureaus

D. Automatic approval for consumers with scores above 700

Explanation: FACTA (2003) amended FCRA to require free annual credit reports from each major bureau (annualcreditreport.com), enhanced fraud alerts and security freezes, truncation of account numbers on receipts, and expanded identity theft victim protections.

Q25: Under TILA, what is the 'finance charge' for a $200,000 loan with a 6% interest rate and $3,000 in points and fees over a 30-year term?

A. $6,000

B. $3,000

✓ C. $231,676 (total interest over 30 years) + $3,000 in fees = $234,676

D. $12,000 annually

Explanation: The finance charge under TILA includes ALL costs of credit — the total interest paid over the life of the loan PLUS prepaid finance charges (points and fees). On a 30-year $200,000 loan at 6%, total interest is approximately $231,676; add $3,000 in fees = roughly $234,676 in total finance charges.

Q26: What must a lender do before a borrower can waive the 3-business-day right of rescission?

A. Nothing — waiver is never permitted

B. The borrower must prove their need in writing, and the lender must submit to HUD for approval

✓ C. The borrower must provide a written waiver to meet a bona fide personal financial emergency

D. The borrower must pay a waiver fee

Explanation: Under TILA, borrowers may waive the right of rescission in cases of a bona fide personal financial emergency (e.g., imminent foreclosure, need to close immediately). The waiver must be in writing, describe the emergency, bear the borrower's signature, and be written by the borrower.

Q27: A lender requires all applicants in a specific zip code to make a 20% down payment, but applicants in other zip codes only need 5% down. This policy may constitute:

A. Sound risk management

✓ B. Redlining if the affected zip code is predominantly minority

C. A legal fair lending practice based on property values

D. Required underwriting standards

Explanation: A policy that imposes stricter requirements on applicants in specific geographic areas that correlate with minority population may constitute redlining or geographic discrimination. Even if stated as a neutral risk policy, it may be challenged under disparate impact theory.

Q28: Which regulation implements the Home Mortgage Disclosure Act?

A. Regulation B

✓ B. Regulation C

C. Regulation X

D. Regulation Z

Explanation: Regulation C implements HMDA. Regulation B implements ECOA, Regulation X implements RESPA, and Regulation Z implements TILA. Regulation C specifies which institutions must report, what data must be collected, and how it must be submitted.

Section 2: General Mortgage Knowledge

Q29: What is a 'non-conforming loan'?

A. Any loan with a fixed interest rate

✓ B. A loan that does not meet Fannie Mae/Freddie Mac guidelines, often due to exceeding loan limits

C. A loan that does not conform to local building codes

D. A loan without mortgage insurance

Explanation: Non-conforming loans are those that fail to meet Fannie Mae/Freddie Mac purchase guidelines. The most common reason is exceeding conforming loan limits (jumbo loans), but loans can also be non-conforming due to credit characteristics or property issues.

Q30: For a VA loan, what does 'entitlement' refer to?

A. The veteran's right to a free appraisal

✓ B. The amount the VA will guarantee on a loan, which determines the loan amount available with no down payment

C. The veteran's eligibility for VA health benefits

D. The property's qualification for VA financing

Explanation: VA entitlement is the dollar amount the VA will guarantee on a mortgage loan. The 'basic entitlement' is $36,000; 'bonus entitlement' increases this for higher loan amounts. Full entitlement allows eligible veterans to purchase with no down payment regardless of loan amount (subject to lender limits).

Q31: What is the debt-to-income ratio limit for most Qualified Mortgages under the General QM rule?

A. 36% back-end DTI

✓ B. 43% back-end DTI

C. 45% back-end DTI

D. 50% back-end DTI

Explanation: Under the original General QM rule, the back-end DTI could not exceed 43%. The CFPB later updated QM rules to use a price-based threshold instead, but many lenders still use 43% as a guideline. FHA allows higher DTIs with compensating factors.

Q32: A borrower wants to purchase a $350,000 home with a conventional loan. They have 5% to put down. What is the loan amount and will PMI be required?

✓ A. $332,500 loan; PMI required

B. $350,000 loan; no PMI

C. $332,500 loan; no PMI

D. $280,000 loan; PMI required

Explanation: 5% down on $350,000 = $17,500. Loan = $350,000 - $17,500 = $332,500. With less than 20% down, the LTV = $332,500/$350,000 = 95%, which exceeds 80%, so PMI is required.

Q33: For FHA loans, borrowers with credit scores between 500-579 must make a minimum down payment of:

A. 3.5%

B. 5%

✓ C. 10%

D. 20%

Explanation: FHA borrowers with credit scores in the 500-579 range must make at least a 10% down payment. The 3.5% minimum only applies to borrowers with credit scores of 580 or higher. FHA does not insure loans for borrowers with scores below 500.

Q34: What is 'private mortgage insurance' (PMI) designed to protect?

A. The borrower if they lose their job

✓ B. The lender against borrower default when LTV exceeds 80%

C. The property against natural disaster damage

D. The title company against title defects

Explanation: PMI (Private Mortgage Insurance) protects the lender — not the borrower — in case of borrower default. Lenders require it when LTV exceeds 80% because there is less equity cushion. The borrower pays the premium but the lender is the beneficiary.

Q35: What is a 'buy-down' mortgage?

A. A loan where the balance decreases faster than normal amortization

✓ B. A loan where points are paid upfront (by borrower, seller, or builder) to temporarily or permanently lower the interest rate

C. A loan that allows the borrower to skip monthly payments

D. A loan where the down payment is provided by the seller

Explanation: A buy-down involves paying discount points at closing to reduce the interest rate. A temporary buy-down (like a 2-1 buy-down) reduces the rate for the first 1-2 years; a permanent buy-down reduces the rate for the entire loan term. Sellers and builders sometimes offer buy-downs as incentives.

Q36: What is the 'secondary market' role of Fannie Mae and Freddie Mac?

A. They originate mortgage loans directly to consumers

✓ B. They purchase mortgage loans from lenders, providing liquidity to the mortgage market

C. They insure mortgages against borrower default

D. They regulate mortgage lending practices

Explanation: Fannie Mae (FNMA) and Freddie Mac (FHLMC) are Government-Sponsored Enterprises (GSEs) that purchase conforming mortgage loans from lenders, package them into mortgage-backed securities, and sell them to investors. This provides lenders with capital to make new loans.

Q37: Which entity guarantees FHA loans?

A. Fannie Mae

✓ B. The Federal Housing Administration (FHA)

C. The Department of Veterans Affairs

D. Private mortgage insurance companies

Explanation: The Federal Housing Administration (FHA), part of HUD, insures FHA loans. If a borrower defaults, FHA pays the lender's loss. The MIP (mortgage insurance premium) paid by borrowers funds this insurance program.

Q38: What is a 'two-step mortgage'?

A. A mortgage requiring two co-borrowers

✓ B. A mortgage with a fixed rate for an initial period (e.g., 5-7 years), then one rate adjustment for the remaining term

C. A mortgage that requires two separate closings

D. A loan with bi-weekly instead of monthly payments

Explanation: A two-step mortgage (also called a 5/25 or 7/23) has a fixed rate for an initial period, then adjusts once to a new fixed or floating rate for the remaining term. It differs from a standard ARM in that it typically adjusts only once rather than annually.

Q39: What does 'seasoning' mean in the context of a cash-out refinance?

A. The interest rate has been in place for a full year

✓ B. The borrower has owned the property for a minimum time period before taking cash out

C. The loan was originated in a certain month

D. Waiting for property taxes to be assessed

Explanation: Seasoning for cash-out refinances typically requires the borrower to have owned the property for a minimum period (often 6-12 months) before accessing equity. Lenders impose this requirement to prevent mortgage fraud and ensure the borrower has genuine equity.

Q40: In mortgage lending, what is 'subordinate financing'?

A. A first mortgage with below-market rates

✓ B. A second or junior lien on a property that is paid after the first mortgage in case of default

C. A loan serviced by a non-primary lender

D. Seller carryback financing

Explanation: Subordinate financing refers to a loan in a junior lien position — behind the first mortgage. In foreclosure, senior liens are paid first from the proceeds. Second mortgages, HELOCs, and other junior liens are examples of subordinate financing.

Q41: What is a 'hybrid ARM'?

A. A mortgage that combines fixed payments with adjustable equity requirements

✓ B. An ARM with a fixed-rate period followed by annual rate adjustments (e.g., 5/1, 7/1, 10/1)

C. A loan that combines conventional and FHA insurance

D. A mortgage with both adjustable rates and balloon features

Explanation: A hybrid ARM has an initial fixed-rate period (the '5' in a 5/1 ARM means 5 years fixed) followed by periodic adjustments (the '1' means annual adjustments after the fixed period). Hybrids offer initial rate stability with the potential for future rate changes.

Q42: A 'purchase money second mortgage' is:

A. A second mortgage taken to pay off the first mortgage

✓ B. A second mortgage used at the time of purchase to help fund the down payment (often called an '80/10/10' structure)

C. A government loan for second homes only

D. A loan from the seller to the buyer to fund the purchase

Explanation: A purchase money second (or 'piggyback' loan) is used at the time of purchase to cover part of the down payment. In an 80/10/10 structure: 80% first mortgage, 10% second mortgage (piggyback), and 10% cash down. This avoids PMI while limiting the first mortgage to 80% LTV.

Q43: What is 'loan flipping'?

A. Selling mortgage-backed securities on the secondary market

✓ B. Repeatedly refinancing a borrower into new loans to generate fees, without meaningful benefit to the borrower

C. Converting an ARM to a fixed-rate loan

D. Purchasing a distressed loan at a discount

Explanation: Loan flipping is a predatory practice where a lender persuades a borrower to repeatedly refinance their mortgage, each time charging fees and costs that deplete the borrower's equity. The refinances provide no net benefit to the borrower — they serve only to generate fees for the lender.

Q44: When does a borrower typically NOT need to pay PMI?

A. When the loan is insured by FHA

✓ **B. When the LTV is 80% or less at origination (or when equity exceeds 20%)**

C. When the property is a single-family home

D. When the borrower has a credit score above 700

Explanation: PMI is required when LTV exceeds 80% (down payment is less than 20%). If the borrower makes a 20%+ down payment, PMI is not required. PMI also cancels when LTV reaches 78-80% on conventional loans. Note: FHA loans have their own MIP regardless of LTV.

Q45: A borrower asks for a loan at a below-market interest rate. What term is used for an interest rate that is set artificially below the market rate?

A. Subprime rate

✓ **B. Teaser rate (also called an introductory or initial rate)**

C. Prime rate

D. Discount rate

Explanation: A teaser rate (or introductory/initial rate) is an artificially low rate offered for a limited initial period to attract borrowers. It is below the fully-indexed rate (index + margin). After the teaser period, the rate adjusts to the market rate, which can cause payment shock.

Q46: What is the purpose of a 'pre-approval letter' from a lender?

A. A guarantee that the lender will fund the loan

✓ **B. A conditional commitment from the lender indicating the borrower qualifies for a specified loan amount, subject to property approval**

C. A document required by all sellers before showing a home

D. The final approval given after underwriting

Explanation: A pre-approval letter indicates that the lender has reviewed the borrower's credit, income, and assets and conditionally agrees to lend up to a specified amount. It is NOT a final commitment — the loan is still subject to underwriting, appraisal, and property approval.

Q47: Which type of second mortgage has a fixed amount borrowed at once with regular fixed payments?

A. HELOC

✓ **B. Home equity loan (closed-end second mortgage)**

C. Bridge loan

D. Reverse mortgage

Explanation: A home equity loan (closed-end second mortgage) provides a fixed lump sum at closing with regular fixed principal and interest payments over a set term. It differs from a HELOC, which is a revolving line of credit with variable availability and often variable rates.

Q48: For conventional loans, the standard maximum back-end DTI ratio without significant compensating factors is approximately:

A. 28%
B. 36%
✓ **C. 45%**
D. 50%

Explanation: Fannie Mae and Freddie Mac's Automated Underwriting Systems (AUS) generally allow back-end DTIs up to 45% (and sometimes higher with compensating factors like high reserves or large down payments). Manual underwriting guidelines may be more restrictive.

Q49: What does 'cross-collateralization' mean in lending?

A. Using the same collateral for two different types of loans
✓ **B. Using one property as collateral for multiple loans, or using multiple properties to secure one loan**
C. Sharing collateral with another borrower
D. Replacing old collateral with new collateral

Explanation: Cross-collateralization occurs when a borrower uses the same asset as collateral for more than one loan, or when a lender secures a loan with multiple assets. This is common in commercial lending but also occurs in some consumer lending scenarios.

Q50: What is the 'note rate' on a mortgage?

A. The APR of the loan
✓ **B. The interest rate stated in the promissory note, which determines the monthly interest payment**
C. The rate charged by the Fed to banks
D. The rate set by Fannie Mae for conforming loans

Explanation: The note rate (or contract rate) is the interest rate stated in the mortgage promissory note. It is the rate used to calculate the monthly principal and interest payment. The APR is always higher than the note rate because it includes fees.

Q51: A 'recourse loan' means:

A. The borrower has the right to refinance without penalty
✓ **B. If the borrower defaults and the sale proceeds are insufficient, the lender can pursue the borrower for the deficiency**
C. The lender cannot pursue the borrower beyond the collateral
D. The borrower can return the property to the lender at any time

Explanation: A recourse loan allows the lender to pursue the borrower for any deficiency if foreclosure proceeds don't cover the outstanding balance. Non-recourse loans limit the lender's recovery to the collateral only. Most residential mortgages are recourse loans, though some states have anti-deficiency laws.

Q52: What is a 'desk review' appraisal?

A. An appraisal conducted at the borrower's kitchen table

✓ B. An appraisal review performed at a desk using existing data without visiting the property, used to check the original appraisal

C. A simplified appraisal for properties under $100,000

D. An appraisal report format used for vacant land

Explanation: A desk review appraisal is an abbreviated appraisal review performed without a physical property inspection. The reviewer analyzes the original appraisal report, comparable sales data, and other available information to check for accuracy and reasonableness.

Q53: Which Automated Underwriting System (AUS) is used by Fannie Mae?

A. Loan Product Advisor (LPA)

✓ B. Desktop Underwriter (DU)

C. TOTAL Mortgage Scorecard

D. Credit Risk Manager

Explanation: Desktop Underwriter (DU) is Fannie Mae's automated underwriting system. Freddie Mac's system is Loan Product Advisor (LPA). FHA uses the TOTAL Mortgage Scorecard. AUS systems analyze loan data and provide approval or refer decisions based on guidelines.

Q54: What does an AUS 'Approve/Eligible' finding mean?

A. The loan is denied and the borrower should apply elsewhere

✓ B. The loan meets the GSE's guidelines and the lender may use streamlined documentation

C. The loan requires a full manual underwriting review

D. The loan needs additional collateral

Explanation: An 'Approve/Eligible' (DU) or 'Accept' (LPA) finding means the loan meets the GSE's automated guidelines. Lenders can typically use reduced documentation requirements (streamlined). A 'Refer' finding means the loan must be manually underwritten and may have stricter requirements.

Q55: What is the purpose of Form 4506-C in mortgage processing?

A. To request a borrower's Social Security earnings record

✓ B. To authorize the lender to obtain IRS tax transcripts to verify income

C. To report fraud to the IRS

D. To change a borrower's tax filing status

Explanation: IRS Form 4506-C (Request for Copy of Tax Return Transcript) authorizes the IRS to release the borrower's tax return information (transcripts) directly to the lender. This verifies that the income reported on the application matches the IRS records.

Q56: What is a 'good faith estimate' (GFE) in modern mortgage practice?

A. The current required disclosure under TRID

✓ B. An informal estimate of costs provided before the official Loan Estimate

C. A binding commitment from the lender

D. The HUD-1 settlement statement

Explanation: The GFE was the predecessor to the current Loan Estimate under TRID (effective October 2015). For RESPA-covered loans, the GFE is no longer used. The Loan Estimate now serves as the required disclosure of estimated loan costs within 3 business days of application.

Section 3: Loan Origination Activities

Q57: What is 'underwriting' in the mortgage process?

A. The marketing of mortgage products to consumers

✓ B. The analysis of a loan application to assess risk and determine whether to approve it based on lender and investor guidelines

C. The process of collecting documents from borrowers

D. Setting the interest rate for the loan

Explanation: Underwriting is the process of evaluating the risk of a mortgage application. The underwriter analyzes the borrower's credit, income, assets, and the property to determine if the loan meets program guidelines. The underwriter may approve, suspend (conditions), or deny the loan.

Q58: What is the standard for verifying self-employed borrower income?

A. One year of bank statements only

✓ B. Two years of personal and business tax returns with all schedules, plus a year-to-date P&L;

C. A letter from the borrower's accountant

D. One year of personal tax returns only

Explanation: Self-employed borrowers (those who own 25% or more of a business or are contractors) typically must provide 2 years of personal and business tax returns with all schedules, a year-to-date profit and loss statement, and sometimes 2 years of business bank statements.

Q59: Under TRID, which three events trigger a mandatory new 3-business-day waiting period after issuing a revised Closing Disclosure?

A. Any change at all to the CD

✓ B. APR increase >0.125%, loan product change, or addition of a prepayment penalty

C. Change in closing date, change in property address, change in loan amount

D. Any change to the fee amounts on the CD

Explanation: Under TRID, a new 3-business-day waiting period is required when: (1) the APR increases by more than 0.125% (0.25% for irregular transactions), (2) the loan product changes (e.g., fixed to ARM), or (3) a prepayment penalty is added. Minor changes do not trigger the waiting period.

Q60: What is a 'wet settlement' vs. a 'dry settlement'?

A. A closing with and without an attorney present

✓ B. A wet settlement disburses funds at closing; a dry settlement withholds disbursement for a period (usually 1-3 business days)

C. A closing in person vs. remote closing

D. A closing before and after the rescission period

Explanation: In a wet settlement (common in most states), funds are disbursed at the closing table. In a dry settlement (common in some Western states like California), all documents are signed at closing but funds are disbursed 1-3 business days later after final review.

Q61: A 'simultaneous second mortgage' originated at the same time as a first mortgage for a purchase transaction is typically called:

A. A bridge loan

✓ B. A piggyback or 80/10/10 loan

C. A construction loan

D. A portfolio loan

Explanation: A piggyback or 80/10/10 loan structure involves a first mortgage (80% LTV), a second mortgage (10%), and a 10% cash down payment. The second mortgage is originated simultaneously with the first. This structure avoids PMI while keeping the first mortgage at 80% LTV.

Q62: What is an 'interest rate cap' on an ARM loan?

A. The maximum profit the lender can make

✓ B. A limit on how much the interest rate can adjust at any one time or over the life of the loan

C. A fee charged by the lender for locking the rate

D. A limit on how low the rate can go

Explanation: ARM rate caps limit how much the interest rate can change. Periodic caps limit each adjustment (e.g., 2% per year). Lifetime caps limit the total change over the loan's life (e.g., 5% above the initial rate). Initial caps apply to the first adjustment after the fixed period.

Q63: 'Non-QM' loans are best described as:

A. Loans that violate federal regulations

✓ B. Loans that do not meet QM criteria but are still legal and available to borrowers who can demonstrate ability to repay

C. Any loan over the conforming limit

D. FHA and VA loans only

Explanation: Non-QM (Non-Qualified Mortgage) loans are loans that don't meet QM criteria (e.g., higher DTI, non-traditional income verification, interest-only). They are legal but carry more regulatory risk for lenders. They serve creditworthy borrowers who don't fit the QM box.

Q64: What is a 'fully indexed rate' on an ARM?

A. The initial rate offered at the start of the loan

✓ B. The current index value plus the margin, representing the rate without caps

C. The maximum rate the ARM can ever reach

D. The average rate over the life of the loan

Explanation: The fully indexed rate = Index + Margin. This is the rate the ARM would be at without caps, based on current index values. When the fixed period ends, the rate adjusts toward the fully indexed rate, subject to periodic and lifetime caps.

Q65: When a borrower's DTI exceeds standard guidelines, which of the following is a common 'compensating factor' that may allow approval?

A. Low credit score

✓ B. Significant cash reserves (12+ months of PITI)

C. History of late payments

D. Short employment history

Explanation: Compensating factors can allow underwriters to approve loans that exceed standard DTI guidelines. Common compensating factors include: significant cash reserves, large down payment/low LTV, excellent credit history, and long-term employment stability.

Q66: A 'letter of explanation' (LOX or LOE) is requested by underwriters for:

A. Routine income verification

✓ B. Unusual items in the file such as gaps in employment, large deposits, or derogatory credit

C. All first-time homebuyer applications

D. VA loan applications only

Explanation: Underwriters request letters of explanation (LOX) for items that need clarification — employment gaps, large deposits, prior bankruptcies or foreclosures, or any unusual circumstances in the file. The borrower explains the situation in writing to help the underwriter assess risk.

Q67: What is a 'VA appraisal' also known as?

A. A standard Fannie Mae appraisal

✓ B. A Notice of Value (NOV) issued by a VA-certified appraiser

C. An FHA case number assignment

D. A USDA feasibility study

Explanation: A VA appraisal results in a Notice of Value (NOV) which establishes the property's value for VA loan purposes. VA appraisals are performed by VA-approved appraisers and must be ordered through the VA's roster system. The NOV also serves as the VA's minimum property requirements check.

Q68: What is 'overlaying guidelines' in mortgage lending?

A. Adding additional paperwork to the loan file

✓ B. Lenders imposing stricter requirements on top of minimum investor/agency guidelines

C. Multiple appraisals being ordered for the same property

D. Using two AUS systems to check the same application

Explanation: Lender overlays are additional qualification requirements that go beyond the minimum guidelines of Fannie Mae, Freddie Mac, FHA, VA, or USDA. For example, FHA allows 500-579 FICO scores with 10% down, but many lenders impose a minimum of 620 FICO as an overlay.

Q69: What document must a VA borrower receive before applying for a VA loan?

✓ A. A Certificate of Eligibility (COE)

B. A pre-approval letter from a VA-approved lender

C. A Notice of Value from a VA appraiser

D. A Statement of Service from their commanding officer

Explanation: Before using VA loan benefits, a veteran must obtain a Certificate of Eligibility (COE) from the VA confirming their eligibility and available entitlement. The COE verifies that the veteran meets service requirements. MLOs can obtain COEs on behalf of veterans through the VA's WebLGY system.

Q70: What are 'seller concessions' in a real estate purchase?

A. The seller's discount from the listing price

✓ **B. Contributions from the seller toward the buyer's closing costs, allowed up to a maximum percentage of the sales price**

C. Upgrades included in the sale by the seller

D. The seller financing part of the purchase price

Explanation: Seller concessions are contributions from the seller toward the buyer's closing costs or prepaid items. Each loan program has limits: conventional (3-6% based on LTV), FHA (6%), VA (4% plus reasonable and customary costs), USDA (6%).

Q71: What is 'income fraud' in the mortgage context?

A. Reporting rental income that exceeds actual rents received by 10%

✓ **B. Material misrepresentation of income on a loan application, including falsified documents**

C. Failing to disclose a part-time job

D. Not reporting a bonus received 3 years ago

Explanation: Income fraud involves materially misrepresenting or fabricating income information to qualify for a loan. This includes using fake W-2s, falsified pay stubs, inflated self-employment income, and undisclosed debts. It is a form of mortgage fraud and a federal crime.

Q72: What is the MLO's obligation when they discover a potential property value issue?

A. Proceed with the loan and hope the appraisal supports the value

✓ **B. Disclose the concern to the borrower and lender and potentially withdraw from the transaction**

C. Order a second appraisal without telling the lender

D. Lower the loan amount without notifying the borrower

Explanation: An MLO has an ethical obligation to disclose material information affecting the transaction. If the MLO has reason to believe the property is overvalued, they should disclose this concern. Proceeding with a loan based on a known inflated value could constitute fraud.

Q73: What is 'flopping' in the context of mortgage fraud?

A. Repeatedly submitting an application that has been denied

✓ **B. Intentionally undervaluing a property in a short sale and then reselling it immediately at a profit**

C. Convincing a borrower to change their loan type frequently

D. Closing a loan and then refinancing it the same day

Explanation: Flopping (the reverse of flipping) occurs in short sales. A participant (often working with the distressed seller) arranges for the property to be undersold at a manipulated low price, then immediately resells it at a profit — defrauding the original lender who approved the short payoff.

Q74: Which of the following is an ethical way for an MLO to market their services?

A. Sending mailers to borrowers who have recently been denied by other lenders with misleading approval guarantees

✓ **B. Accurately representing their rates and products in advertising, with all required disclosures**

C. Promising rates before locking them in

D. Guaranteeing a closing date before ordering the appraisal

Explanation: Ethical MLO marketing involves truthful, accurate representations of products and rates, with all legally required disclosures. Misleading advertising (guarantee of approval, inaccurate rates) violates Regulation Z and fair lending laws, and is unethical.

Q75: What does 'fair lending' require of mortgage lenders?

A. Offering the lowest possible rates to all borrowers

✓ B. Treating all similarly situated applicants consistently, without regard to protected class membership

C. Approving all applications from protected classes

D. Making loans only in diverse neighborhoods

Explanation: Fair lending requires that lenders treat all similarly situated applicants consistently and without regard to race, color, national origin, religion, sex, familial status, disability, age, or receipt of public assistance. Both the process and the outcome must be non-discriminatory.

Q76: An MLO inflates a borrower's income on the application to help them qualify. The borrower does not know this. The MLO has committed:

A. No crime — the MLO was trying to help the borrower

✓ B. Mortgage fraud, both for housing (on behalf of the borrower) and for profit (benefiting the MLO through commission)

C. A minor ethical violation subject only to a warning

D. A violation only if the loan goes into default

Explanation: An MLO who falsifies application information without the borrower's knowledge is committing mortgage fraud. Even if done with good intentions (helping the borrower qualify), it is still a federal crime. The MLO faces criminal prosecution regardless of whether the loan defaults.

Q77: An MLO receives payment from a builder for every loan they originate on the builder's new development. This arrangement:

A. Is a legitimate marketing agreement

✓ B. Violates RESPA Section 8 unless the payment is for legitimate marketing services actually performed

C. Is only legal if the MLO discloses it on the loan application

D. Is legal as long as the interest rate to the buyer is competitive

Explanation: RESPA Section 8 prohibits kickbacks for settlement service referrals. Unless a builder-MLO arrangement involves payment for bona fide services actually performed (and is NOT a referral fee), it violates RESPA. Simply paying for bringing in borrowers is a prohibited referral fee.

Q78: What ethical responsibility does an MLO have to a borrower with limited English proficiency?

A. No special obligation — the borrower should bring their own interpreter

✓ B. To ensure the borrower receives information in a way they can understand, which may include arranging for translation

C. To decline the application to avoid liability

D. Only to provide English documents as required by law

Explanation: MLOs have an ethical and fair lending obligation to ensure borrowers understand the terms of their loan. For borrowers with limited English proficiency, this means taking steps to provide translation or interpretation services so the borrower can make an informed decision.

Q79: Charging a borrower an undisclosed fee after they've signed the Loan Estimate is:

A. Acceptable if the fee is under $50

✓ B. An ethical violation and potentially a TRID violation

C. Standard practice for small administrative fees

D. Required for lender-controlled services

Explanation: TRID strictly limits what fees lenders can charge beyond what was disclosed on the Loan Estimate. Charging undisclosed fees is a TRID violation and an ethical violation. Zero-tolerance fees cannot increase at all; exceeding the tolerance limits requires a cure.

Q80: What is the MLO's duty when a borrower appears to be under duress or not acting voluntarily?

A. Process the loan as quickly as possible to avoid delay

✓ B. Pause the transaction, address the concern, and potentially decline to proceed if the borrower's free will is in question

C. Have the borrower sign a waiver of concern

D. Contact only the real estate agent for guidance

Explanation: If an MLO has reason to believe a borrower is under duress or not acting voluntarily (for example, in elder financial abuse situations), they have an ethical obligation to pause and address the situation. Proceeding with a loan obtained through coercion or undue influence could be fraudulent.

Q81: What is 'elder financial abuse' in the context of mortgage lending?

A. Elderly borrowers choosing not to qualify for senior discounts

✓ B. Exploiting elderly individuals' home equity through deceptive or coercive mortgage transactions

C. Offering reverse mortgages to seniors

D. Charging seniors higher insurance premiums

Explanation: Elder financial abuse in mortgage lending involves taking advantage of older homeowners' equity through deceptive practices — including high-pressure sales tactics, unnecessary loan flipping, undisclosed fees, and outright fraud. Seniors are frequently targeted because they often have significant home equity.

Q82: Which of the following behaviors constitutes 'unfair' practice under UDAAP?

A. Requiring documentation of income for underwriting

✓ B. Causing substantial injury to consumers that they cannot reasonably avoid and that is not outweighed by benefits

C. Offering competitive market-rate products

D. Providing required disclosures on time

Explanation: Under UDAAP, an 'unfair' practice causes substantial injury to consumers, the injury cannot reasonably be avoided, and it is not outweighed by countervailing benefits. Examples include holding on to borrower funds without providing value or imposing aggressive and unexpected fee increases.

Q83: What is the role of the CFPB's Consumer Complaint Database in mortgage lending?

A. It sets interest rates for all mortgage lenders

✓ B. It provides a public record of consumer complaints about financial products, which regulators and consumers can use

C. It approves or denies individual mortgage applications

D. It manages the NMLS licensing system

Explanation: The CFPB's Consumer Complaint Database publishes consumer complaints about financial products and services, including mortgages. This creates public accountability for lenders, allows consumers to research a company's complaint history, and helps regulators identify patterns of problematic behavior.

Q84: An MLO who falsely tells a borrower 'the rate I quoted is still valid' when it is not, in order to prevent them from shopping with another lender, is engaging in:

A. Standard sales practice

✓ B. Deceptive practice violating UDAAP and ethical standards

C. An acceptable competitive strategy

D. A minor misstatement with no regulatory implications

Explanation: Falsely representing the rate to prevent a borrower from shopping is deceptive under UDAAP and violates ethical standards. Consumers have the right to shop for the best terms. Misleading them to prevent shopping is a form of deception that can cause financial harm.

Q85: What does it mean for an MLO to act in a 'fiduciary capacity'?

A. Acting to maximize the lender's profits

✓ B. Acting in the best interest of the client, placing the client's interests above their own

C. Ensuring all documents are filed on time

D. Disclosing only legally required information

Explanation: A fiduciary has a legal and ethical duty to act in the best interest of the person they represent. While MLOs are not always legally classified as fiduciaries, they have significant ethical obligations to their borrowers — recommending appropriate products, providing honest information, and avoiding conflicts of interest.

Q86: A borrower is elderly and is being pressured by a family member to take out a reverse mortgage. The MLO suspects elder abuse. What should the MLO do?

A. Process the loan since the borrower signed the application

✓ B. Pause the transaction and contact Adult Protective Services or advise the borrower of their rights and resources

C. Exclude the family member from future conversations only

D. Ask only the family member for clarification

Explanation: MLOs have an ethical duty to protect vulnerable borrowers. If elder abuse is suspected, the MLO should not proceed without addressing the concern. This may include speaking with the borrower privately, referring to Adult Protective Services, or declining the transaction.

Section 4: Ethics

Q87: Under what circumstances can a state deny an MLO license application?

A. If the applicant has any prior mortgage experience

✓ B. If the applicant has felony convictions involving fraud, dishonesty, or breach of trust within 7 years

C. If the applicant graduated from an out-of-state school

D. If the applicant has worked in more than 3 states

Explanation: States must deny MLO license applications for individuals with felony convictions involving fraud, dishonesty, breach of trust, or money laundering within the past 7 years. Some disqualifying convictions (particularly sex offenses) have no time limit.

Q88: The NMLS Consumer Access website allows consumers to:

A. Apply for mortgage loans online

✓ B. Look up MLO license status, history, and any regulatory actions

C. Compare interest rates from different lenders

D. File complaints directly with lenders

Explanation: NMLS Consumer Access (nmlsconsumeraccess.org) is a free, publicly available website where consumers can verify an MLO's license status, look up their license history, check for regulatory actions, and confirm their NMLS ID. This promotes transparency in mortgage lending.

Q89: When an MLO's license is 'inactive,' what does this mean?

A. The MLO has failed the renewal exam

✓ B. The MLO is not currently sponsored by an employer, so they cannot originate loans

C. The MLO has been banned from the industry

D. The MLO is in CE classes and temporarily unable to originate

Explanation: An inactive license status in NMLS means the MLO is currently not sponsored by a licensed mortgage company. Without active sponsorship, the MLO cannot legally originate loans. The license itself remains valid; the MLO simply cannot use it until a company sponsors them.

Q90: Under the SAFE Act, how long must an MLO who has let their license lapse wait before being required to retake pre-licensing education?

A. They never have to retake it

✓ B. 5 years from the date of the original license

C. The SAFE Act does not specify — state law governs this

D. Only if they failed the licensing exam originally

Explanation: Under the SAFE Act, if an MLO's license has been expired for 5 or more years, they must complete the full 20-hour pre-licensing education again before re-licensing. This ensures returning MLOs are up to date on current laws and practices.

Q91: What is the 'sponsorship' requirement in NMLS licensing?

A. An MLO must be sponsored by the National Mortgage Association

✓ B. A licensed mortgage company must formally take responsibility for the MLO's activities and vouch for them in NMLS

C. MLOs must be sponsored by a state legislator

D. New MLOs must work under a senior MLO's supervision for 2 years

Explanation: Sponsorship in NMLS means a licensed mortgage company formally claims the MLO as their employee in NMLS. Without sponsorship from a licensed entity, the individual MLO's license is inactive and they cannot originate. If the relationship ends, the company removes sponsorship.

Q92: Which of the following is NOT typically included in an MLO's annual CE requirements?

A. Ethics training

B. Federal law update

✓ C. Property appraisal techniques

D. Non-traditional mortgage products

Explanation: The 8 required CE hours for MLOs include federal law, ethics (including fraud/consumer protection/fair lending), and non-traditional mortgage products. Property appraisal techniques is not a required CE topic — that is part of appraiser training, not MLO licensing.

Q93: If an MLO wants to originate loans in multiple states, they must:

A. Apply for federal authorization from the CFPB

✓ B. Obtain a separate license in each state they wish to operate in, through NMLS

C. Apply for a multi-state license that covers all states

D. Only notify the states by mail of their intent

Explanation: MLO licenses are state-specific. An MLO who wants to originate in multiple states must obtain a separate license in each state, completing that state's specific requirements. NMLS streamlines this process, but each state's approval is independent.

Q94: What is the purpose of the SAFE Act's requirement for credit report review in the licensing process?

A. To determine the MLO's ability to get a mortgage themselves

✓ B. To assess financial responsibility and identify patterns of fraud or financial misconduct

C. To set the MLO's salary

D. To determine the MLO's net worth for bond purposes

Explanation: The credit review in the MLO licensing process assesses financial responsibility. A history of financial mismanagement (multiple foreclosures, tax liens, patterns of collections) may raise concerns about an MLO's fitness for a position of financial trust — though a bad credit history is not automatically disqualifying.

Q95: When is an MLO NOT required to have a state license under the SAFE Act?

A. When they originate less than 5 loans per year

✓ B. When they work for a federally chartered bank or thrift and register as an MLO through NMLS

C. When they only work with refinance loans

D. When they work part-time only

Explanation: Employees of federally chartered depository institutions (banks, thrifts, credit unions regulated by OCC, FDIC, NCUA, Federal Reserve) are 'registered' MLOs under the SAFE Act, not 'licensed.' They register through NMLS but are regulated by their federal banking regulator, not the state.

Q96: What type of license does a mortgage company need to employ licensed MLOs?

A. An MLO license for each principal

✓ B. A company/entity mortgage license in each state where they do business

C. A CFPB certification

D. A Fannie Mae approved seller/servicer designation

Explanation: Mortgage companies must hold their own state licenses (mortgage company, mortgage broker, or lender licenses) in each state where they originate loans. The company's MLOs must be sponsored under the company's license. Both the company and its individual MLOs must be licensed.

Q97: A consumer files a complaint against an MLO with the state licensing authority. What is the potential consequence for the MLO?

A. No consequences unless convicted criminally

✓ B. Investigation, and potential license suspension, revocation, fine, or required remedial education

C. Automatic license revocation

D. Only a letter of reprimand

Explanation: State licensing authorities investigate consumer complaints against MLOs. Depending on findings, consequences can range from no action to: required remedial education, fines, license suspension, license revocation, and referral for criminal prosecution.

Q98: Under the SAFE Act, what does the fingerprint-based background check include?

A. Only state criminal records

✓ B. Both state and federal criminal history records through the FBI's national criminal database

C. Only records from the past 5 years

D. Only records related to financial crimes

Explanation: The fingerprint submission required by the SAFE Act runs through the FBI's Criminal Justice Information Services (CJIS) system, which checks both state and federal criminal records. This comprehensive check identifies any qualifying criminal history that may disqualify the applicant.

Q99: How often must most state MLO licenses be renewed?

A. Every 2 years

✓ B. Every year, by December 31

C. Every 3 years

D. Only when changing employers

Explanation: Most state MLO licenses must be renewed annually. The renewal window in most states opens November 1 and closes December 31. Failure to renew by December 31 results in an expired license, which must go through a reinstatement process before the MLO can originate again.

Q100: The SAFE Act requires that an MLO's license application include all of the following EXCEPT:

A. Criminal background check consent

B. Fingerprint submission

✓ C. Minimum 2-year work history in mortgage industry

D. 20 hours of pre-licensing education completion

Explanation: SAFE Act licensing requirements include: 20 hours of pre-licensing education, passing the test with 75%+, background check and fingerprints, credit report review, and personal history disclosure. There is NO requirement for 2 years of prior mortgage industry experience.

Q101: What is the MLO's obligation to disclose their NMLS ID?

A. Only on the loan application

✓ B. On the loan application, in solicitations, and in advertisements

C. Only verbally upon request

D. Only when asked by the borrower

Explanation: MLOs are required to include their NMLS Unique Identifier on: (1) each residential mortgage loan application, (2) solicitations (direct mail, email, phone), and (3) advertisements (online, print, broadcast). This is to ensure borrowers can verify the MLO's license status.

Q102: Under the Fair Credit Reporting Act, a consumer who is denied credit based on information in their credit report must receive:

A. A free credit monitoring subscription

✓ B. An adverse action notice identifying the credit bureau and the right to a free report

C. Notification only if requested

D. A copy of the full credit report automatically

Explanation: FCRA requires that when an adverse action is taken based on a credit report, the creditor must notify the consumer of the action, identify the reporting agency used, and inform the consumer of their right to a free credit report from that agency within 60 days.

Q103: HMDA data is collected by lenders to report on mortgage applications for properties in:

A. Only urban areas

B. The lender's assessment area only

✓ C. Metropolitan statistical areas (MSAs) and other areas as defined by regulation

D. All 50 states equally

Explanation: HMDA reporting requirements apply to covered institutions with operations in Metropolitan Statistical Areas (MSAs). The 2015 HMDA rule expanded coverage to some non-MSA areas as well, based on loan volume thresholds.

Q104: Under ECOA, which of the following income types may NOT be excluded from consideration for qualifying?

A. Income from part-time employment

✓ B. Income because the borrower is under 40 years old

C. Income that is irregular or unlikely to continue

D. Rental income not verified through tax returns

Explanation: ECOA prohibits considering age in a credit decision. A creditor CANNOT discount or exclude income simply because the applicant is young (or old). Income may be evaluated for stability and continuity, but not excluded based on the borrower's age.

Q105: Which of the following is an example of 'disparate impact' in fair lending?

A. A lender who explicitly states they won't lend in minority neighborhoods

✓ B. A neutral policy that, when applied, results in a statistically significant negative effect on a protected class

C. An MLO who charges higher fees to minority applicants

D. A lender who approves only white applicants

Explanation: Disparate impact occurs when a neutral policy or practice that appears nondiscriminatory on its face has a disproportionate negative impact on a protected class. Unlike disparate treatment, it does not require proof of discriminatory intent.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: Under the Fair Housing Act, a lender who refuses to advertise in publications targeted to minority communities may be engaging in:

A. Acceptable business targeting

✓ B. Discriminatory advertising practices

C. Permitted geographic marketing

D. Legal competitive strategy

Explanation: Advertising exclusively in media that reaches predominantly non-minority audiences while avoiding minority-targeted media can constitute discriminatory advertising under the Fair Housing Act if it results in unequal marketing of credit products.

Q107: The 'rate spread' required to be reported under HMDA (post-2018 rule) is the difference between:

A. The note rate and the prime rate

✓ B. The loan's APR and the average prime offer rate (APOR)

C. The note rate and the 10-year Treasury rate

D. The APR and the federal funds rate

Explanation: Under HMDA (Regulation C), the rate spread for a covered loan is reported as the difference between the loan's APR and the Average Prime Offer Rate (APOR) for a comparable transaction. This helps identify higher-priced loans in HMDA data.

Q108: A borrower's credit score of 580 generally qualifies them for which FHA down payment?

A. 3% minimum down payment

✓ B. 3.5% minimum down payment

C. 10% minimum down payment

D. 20% minimum down payment

Explanation: FHA requires a minimum 3.5% down payment for borrowers with credit scores of 580 or higher. Borrowers with scores between 500-579 require a 10% down payment. FHA does not insure loans for borrowers with scores below 500.

Q109: Under the ATR (Ability-to-Repay) rule, a lender must document the consumer's ability to repay using information known or reasonably available at the time of consummation. 'Consummation' means:

A. The date of loan application

✓ B. The date the borrower becomes legally obligated on the loan (closing/signing)

C. The date of rate lock

D. The date underwriting approval is issued

Explanation: Consummation occurs when the borrower becomes legally obligated to the loan — typically the loan closing date. The lender must assess and document the borrower's ATR based on information available at or before consummation.

Q110: For Qualified Mortgage purposes, which of the following is TRUE about points and fees?

✓ A. Points and fees must not exceed 5% of the total loan amount for QMs over $60,000

B. All loans regardless of size have a 5% cap on points and fees

C. Points and fees are unlimited on government loans

D. There is no cap on lender credits

Explanation: QM requires that points and fees not exceed 3% for loans over $100,000 (higher percentages for smaller loans). For loans between $60,000-$100,000, the limit is $3,000. The 5% threshold referenced often applies to HOEPA triggers, not QM.

Q111: A 5/1 ARM with initial caps of 2/2/5 means the rate can change at the first adjustment by a maximum of:

- ✓ **A. 2%**
- B. 5%
- C. 1%
- D. 7%

Explanation: In a 2/2/5 ARM cap structure: the first number (2) is the initial adjustment cap (maximum rate change at first reset), the second (2) is the periodic cap per adjustment, and the third (5) is the lifetime cap over the start rate. The first adjustment can increase the rate by at most 2%.

Q112: The FHA Upfront Mortgage Insurance Premium (UFMIP) for most purchase loans is:

- A. 0.5% of the loan amount
- B. 1.0% of the loan amount
- ✓ **C. 1.75% of the loan amount**
- D. 2.25% of the loan amount

Explanation: FHA's Upfront MIP is currently 1.75% of the base loan amount for most purchase and refinance transactions. It can be financed into the loan. This is separate from the annual MIP paid monthly.

Q113: Under Regulation Z, the 'finance charge' is the cost of consumer credit expressed as a:

- A. Monthly fee
- ✓ **B. Dollar amount and as an annual percentage rate (APR)**
- C. Percentage of the purchase price
- D. Points-only calculation

Explanation: TILA requires finance charges to be disclosed both as a dollar amount (the total finance charge) and as an annual percentage rate (APR). This dual disclosure helps consumers compare the cost of credit across different loan types and lenders.

Q114: Which of the following describes the VA loan's 'Certificate of Eligibility' (COE)?

- A. A property appraisal specific to VA loans
- ✓ **B. Documentation confirming a veteran's eligibility for VA home loan benefits based on military service**
- C. The VA's approval of the specific property
- D. A certificate required for all government loan programs

Explanation: The Certificate of Eligibility (COE) verifies to the lender that the veteran meets the military service requirements for a VA loan. It can be obtained through NMLS, the VA's eBenefits portal, or through the lender.

Q115: Under HMDA, which of the following properties would NOT be covered?

- A. A single-family home
- B. A 4-unit multifamily property
- C. A 30-unit apartment building
- ✓ **D. A commercial building with no residential units**

Explanation: HMDA covers loans secured by dwellings (1-4 unit residential properties, multifamily residential properties, manufactured homes). Commercial properties without residential dwellings are not covered.

Q116: Under RESPA, the HUD-1 Settlement Statement was replaced by the Closing Disclosure for most transactions beginning:

A. January 1, 2010

✓ B. October 3, 2015

C. January 1, 2018

D. August 1, 2015

Explanation: The TRID rule (TILA-RESPA Integrated Disclosure rule) became effective October 3, 2015, replacing the GFE and HUD-1 with the Loan Estimate and Closing Disclosure for most residential mortgage transactions.

Q117: For VA loans, the 'VA appraisal' is performed to determine the 'Notice of Value' (NOV). The NOV:

A. Is the same as the purchase price in all cases

✓ B. Sets the maximum value the VA will guarantee for the property, which caps the loan amount for VA purposes

C. Determines if the veteran qualifies financially

D. Provides a market value estimate only for the seller's use

Explanation: The VA appraisal results in a Certificate of Reasonable Value (CRV) or Notice of Value (NOV). This establishes the property's value for VA purposes. The VA loan amount cannot exceed the NOV value (though the borrower can pay cash for the difference).

Q118: An MLO must provide the Loan Estimate to the applicant within 3 business days of receiving an application. For purposes of the LE timing rule, 'business day' means:

A. Monday through Friday only

✓ B. All calendar days except Sundays and federal public holidays

C. All calendar days

D. Weekdays as defined by state law

Explanation: For TRID Loan Estimate delivery timing, a 'business day' is defined broadly as all calendar days except Sundays and federal public holidays. This means Saturdays count as business days for this rule.

Q119: RESPA prohibits 'required use' arrangements where a lender requires a borrower to use a specific settlement service provider EXCEPT:

A. When the lender has a financial interest in the provider

✓ B. When it is the lender's own attorney for legal services in the transaction

C. When the provider offers better pricing

D. There are no exceptions — required use is always prohibited

Explanation: RESPA prohibits required use that benefits the lender financially. However, a lender may require use of its own attorney (as long as the borrower receives proper disclosure) for certain legal aspects of the transaction. The lender cannot receive a thing of value from required use of third-party providers.

Q120: Which of the following is a key difference between the NMLS and state regulatory agencies?

A. NMLS is a federal agency that issues licenses directly

✓ B. NMLS is a technology platform for state regulators; it does not issue licenses but states use it to process applications

C. State agencies are subordinate to NMLS in all licensing decisions

D. NMLS sets the final licensing standards for all states

Explanation: NMLS is not a regulatory agency and does not issue licenses itself. It is a technology platform that state regulators use to process applications, maintain records, and enable multi-state licensing. Each state regulatory agency makes its own licensing decisions.
